

The Executive Snapshot

High-Yield Power-Law Portfolio Driven by an Elite Top Tier

📷 Portfolio Scale

\$161.7M ARR

Total MRR of **\$13.47M** across 1,000 companies. Average asset MRR stands at \$13.5k with a median of \$282.

⚡ Run-Rate Velocity

+20.9% Growth

Forward ARR of **\$161.66M** significantly outpaces historical L12M realized revenue (\$133.75M).

👛 Customer Quality

2.58x B2B ARPU

B2B model average MRR (**\$13,150**) far outclasses B2C (\$5,102), providing resilient contract stability.

🏗️ Mid-Tier Engine

196 Scalers

Core bench generating **\$10k–\$100k MRR** accounts for \$5.36M combined monthly recurring revenue.

i Executive Insight: Recurring revenue continues to strengthen across core B2B categories, despite heavy top-end concentration (Top 10 hold 48.0% of total portfolio MRR). Long-term value creation requires scaling the \$10k–\$100k cohort.

The Growth Story

Run-Rate Acceleration Outpaces Historical Realized Revenue

Historical Baseline

\$133.8M

L12M REALIZED

Past 12-month realized revenue baseline established across the 1,000 startup dataset.



Current Run-Rate

\$161.7M

FORWARD ARR

Forward annualized run-rate (+20.9% structural expansion driven by recent customer expansion).



SaaS Catalyst

+64.4%

AVG 30D SAAS GROWTH

Pure SaaS startups expanded fastest as workflow automation adoption accelerated across business clients.



AI Scale Phase

\$1.81M

TOTAL AI CATEGORY MRR

AI represents the single largest category (197 startups) with steady +16.7% monthly expansion.

 **Growth Strategy:** Shift capital allocation away from the unmonetized micro-tail (59.1% of startups remain under \$1,000 MRR) toward accelerating mid-tier SaaS and AI assets showing proven monthly traction.

Revenue Quality Analysis

Contracted B2B Subscriptions Deliver High Stability

B2B Enterprise Model

\$13,150 Avg MRR

- **Total Segment MRR:** \$3,353,170 across 255 startups
- **Revenue Efficiency:** Generates 63.8% more total revenue than B2C with 36.4% fewer companies
- **Retention Profile:** Seat-based contracts minimize volatility and lower churn risks

High Stability & Lifetime Value

B2C & Consumer Model

\$5,102 Avg MRR

- **Total Segment MRR:** \$2,045,927 across 401 startups
- **Growth Velocity:** Virally fast (+20.2% 30D growth) but exhibits lower unit revenues
- **Monetization Gap:** High visitor volumes often fail to translate into paid plans

Requires B2B Team Plan Pivot

 **Strategic Insight:** Revenue quality is anchored in high-ARPU B2B software. Focus management efforts on converting self-serve consumer tools into multi-seat enterprise team subscriptions.

Key Revenue Growth Drivers

AI Ecosystems, High-Ticket Pricing, and US Market Density

🏢 Top Categories

AI Solutions (197)	\$1.81M MRR
Pure SaaS (66)	\$588.7k MRR
Education (30)	\$523.7k MRR
Marketing (42)	\$444.5k MRR

AI & SaaS capture 32.5% of total portfolio MRR with strongest monthly momentum.

🌐 Geographic Footprint

United States (258)	\$7.50M MRR
France (79)	\$894.3k MRR
Canada (29)	\$366.5k MRR
United Kingdom (50)	\$350.3k MRR

US startups generate 55.7% of total revenue, followed by capital-efficient French assets.

💰 Pricing Efficiency

Contact Sales / Custom	\$78,625 Avg MRR
Tiered Pro (\$29-\$99/mo)	\$15k-\$250k MRR
Custom enterprise pricing yields 150x higher monthly revenue than low-cost plans.	

🛠️ **Playbook Recommendation:** Priority capital deployment should target US/EU-based SaaS and AI applications implementing custom enterprise tier pricing over low-cost consumer plans.

Risks & Upside Opportunities

Due Diligence Risk Exposure vs. Inorganic M&A Pipeline

⚠️ Key Risks (Due Diligence Focus)

1. Single-Asset Concentration:

Top 1 asset (Stan) holds **26.5% (\$3.57M)** of total MRR. Top 10 assets hold 48.0% (\$6.46M), creating revenue dependency.

2. Micro-Tail Stagnation:

591 startups (<\$1k MRR) generate only 0.6% of portfolio MRR with a median monthly growth rate of 0.0%.

3. Freemium Conversion Chasm:

High traffic apps suffer from unmonetized visitor flows without mandatory team/seat upgrades.

💡 Hidden Opportunities (Upside Potential)

1. M&A Roll-Up Pipeline:

262 startups (26.2%) are "On Sale" at modest asking revenue multiples (2.0x–4.5x L12M), offering easy acqui-hires.

2. Mid-Tier Multiplier Effect:

196 startups in the \$10k–\$100k cohort generate \$5.36M MRR; small ARPU increases compound ARR rapidly.

3. Geo Arbitrage Expansion:

Capital-efficient European hubs (France/UK) offer under-valued entry valuations for US expansion.

⚙️ **Risk Mitigation:** Single-asset dependency is de-risked by executing an inorganic roll-up strategy using the existing 262 "On Sale" startup inventory to fortify mid-tier category leaders.

Investment Memo

Strategic Action Plan for the Investment Committee

✔ What Is Working

- **\$161.7M Forward ARR:** Strong expansion (+20.9% over L12M).
- **High B2B ARPU:** \$13,150 average MRR provides predictable cash flows.
- **AI & SaaS Momentum:** \$2.39M combined MRR with high 30-day velocity.

⚠ Requires Attention

- **Revenue Concentration:** 48% MRR relies on Top 10 startups.
- **Long-Tail Drag:** 591 assets produce under \$1k MRR with zero median growth.
- **Freemium Churn:** Need automated seat-based monetization triggers.

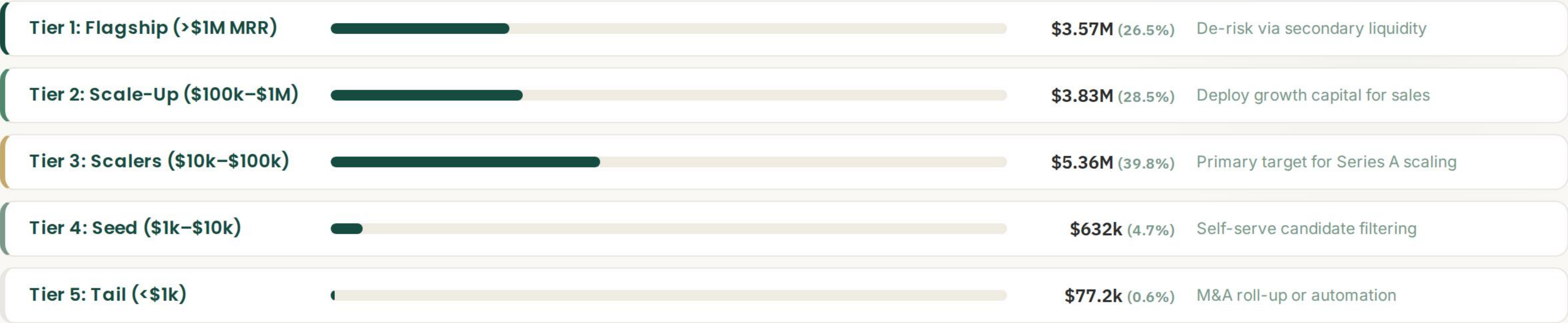
☰ Management Next Steps

1. **Fund Mid-Tier Champions:** Scale 196 startups in \$10k–\$100k tier into \$1M+ ARR assets.
2. **Roll-Up Acquisition:** Buy strategic "On Sale" micro-SaaS assets (262 inventory).
3. **Enforce Enterprise Tiers:** Transition self-serve tools into B2B team models.

“The fundamentals suggest a business capable of durable recurring growth, provided customer retention scales alongside acquisition.”

Revenue Cohort Architecture

Multi-Tier Escalation Model and Value Creation Path



 **Value Creation Roadmap:** Upgrading just 10% of Tier 3 companies (19 startups) into Tier 2 adds **+\$1.5M+ in new monthly revenue** (+\$18M+ ARR expansion) while reducing portfolio concentration risk.